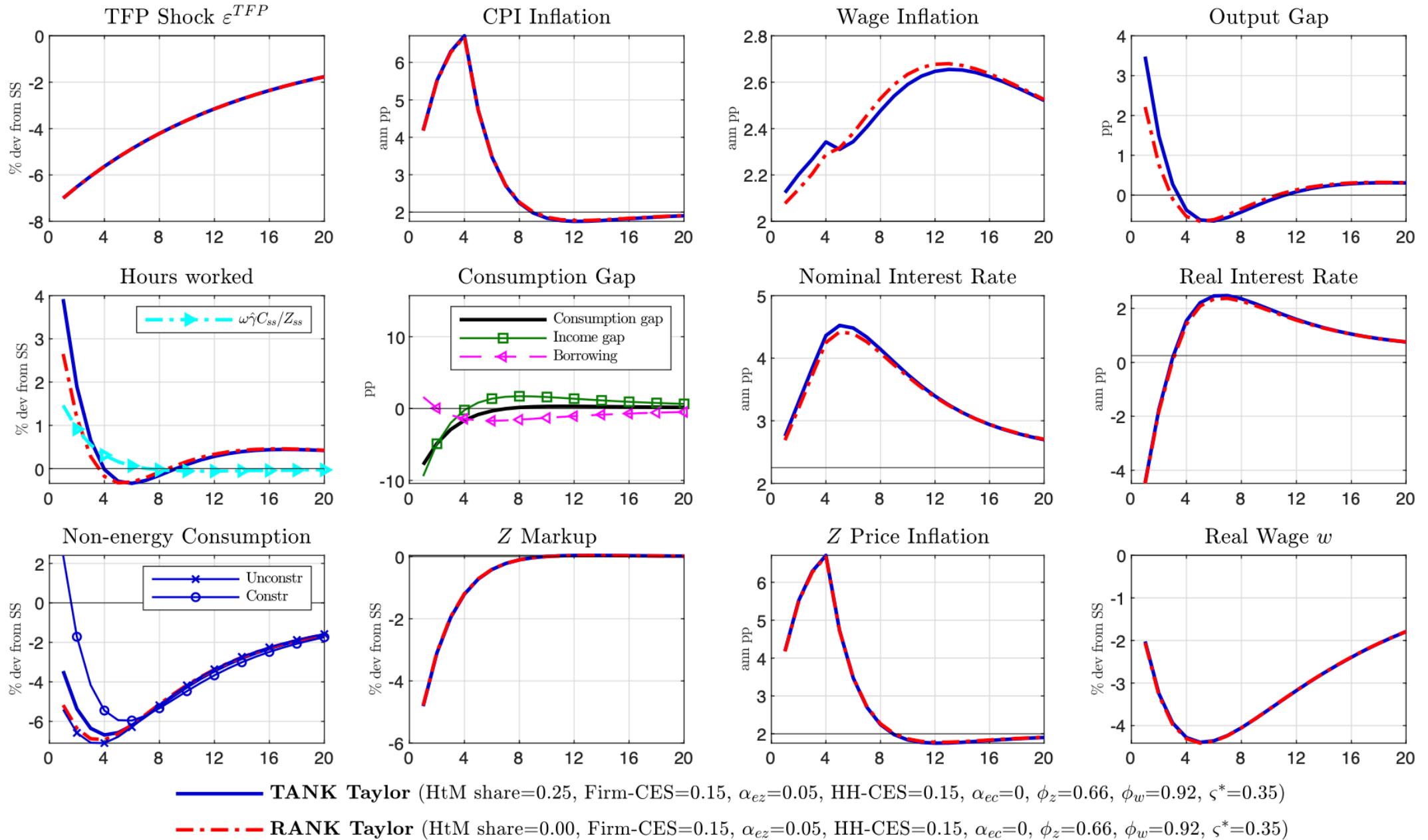


FIGURE 5: Dynamic Responses to a TFP Shock: Taylor policy for TANK vs RANK



Notes: This figure shows the IRFs of key model variables to a 7% drop in TFP. The central bank follows a Taylor rule. The blue (red) lines depict the TANK (RANK) case.